

become a professional stock trader, but it will help you understand how the stock market works and how to invest your money wisely. Understanding these things while you are young is hugely beneficial because, as you will learn, the longer you are invested in the market, the more money you can make.

The Stock Market

When people talk about investing, they are generally talking about the **stock market**. If they are talking about their Tesla stocks or their retirement fund going up or down, they are talking about the stock market. You may have been told that the stock market is a scam and that it is a good way to lose all of your money. People who say this probably lost a lot of money by taking too many risks and trying to make a million dollars in a year instead of investing slowly and steadily.

While you can lose money in the stock market if you don't invest wisely, you can also make a tremendous amount of money through **conservative investing**. Conservative investing grows your wealth slowly and steadily. It requires discipline, commitment, and time in the market. A conservative approach helps you achieve your financial goals over long periods of time, like 30 years or more, not overnight.

The first step to minimizing losses and making money in the stock market is understanding what in the world it is and how it works. The stock market is a market where you can buy and sell (trade) shares of stocks. For example, let's say your friend, who is a chef, wants to start a new restaurant. She has all the skills necessary: she makes delicious food, understands business, and is known for her incredible customer service. Unfortunately, she